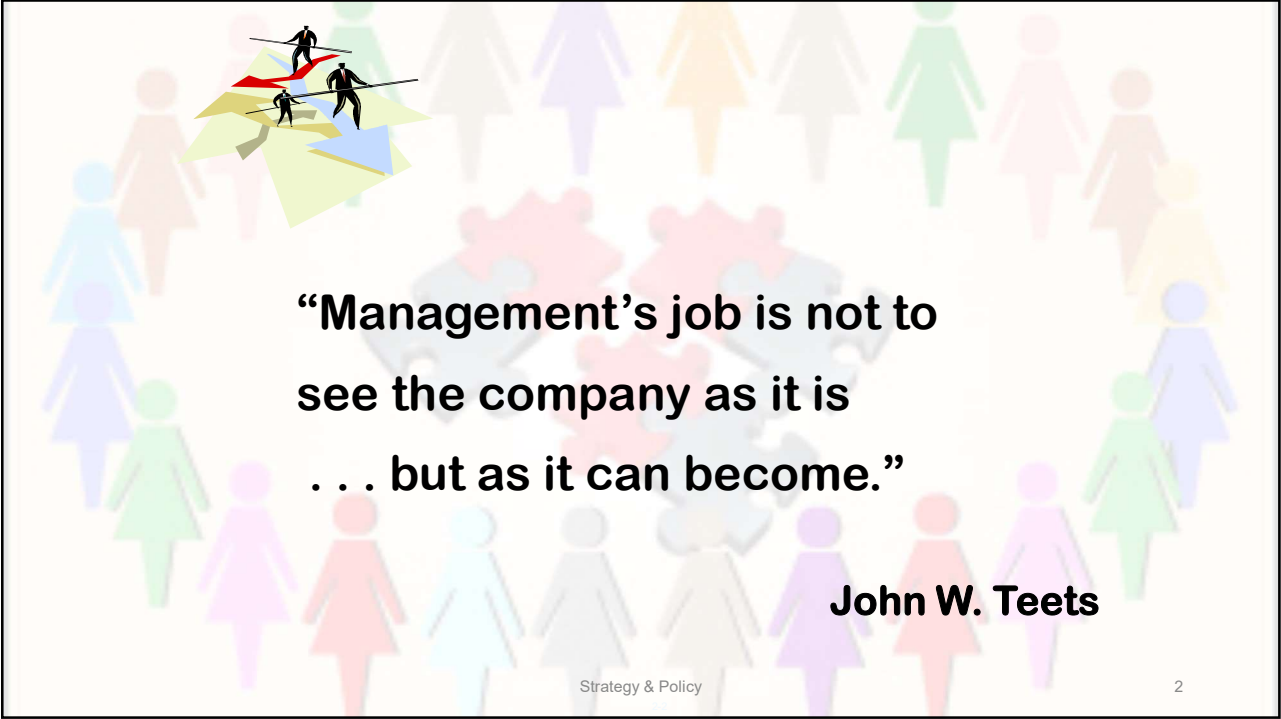




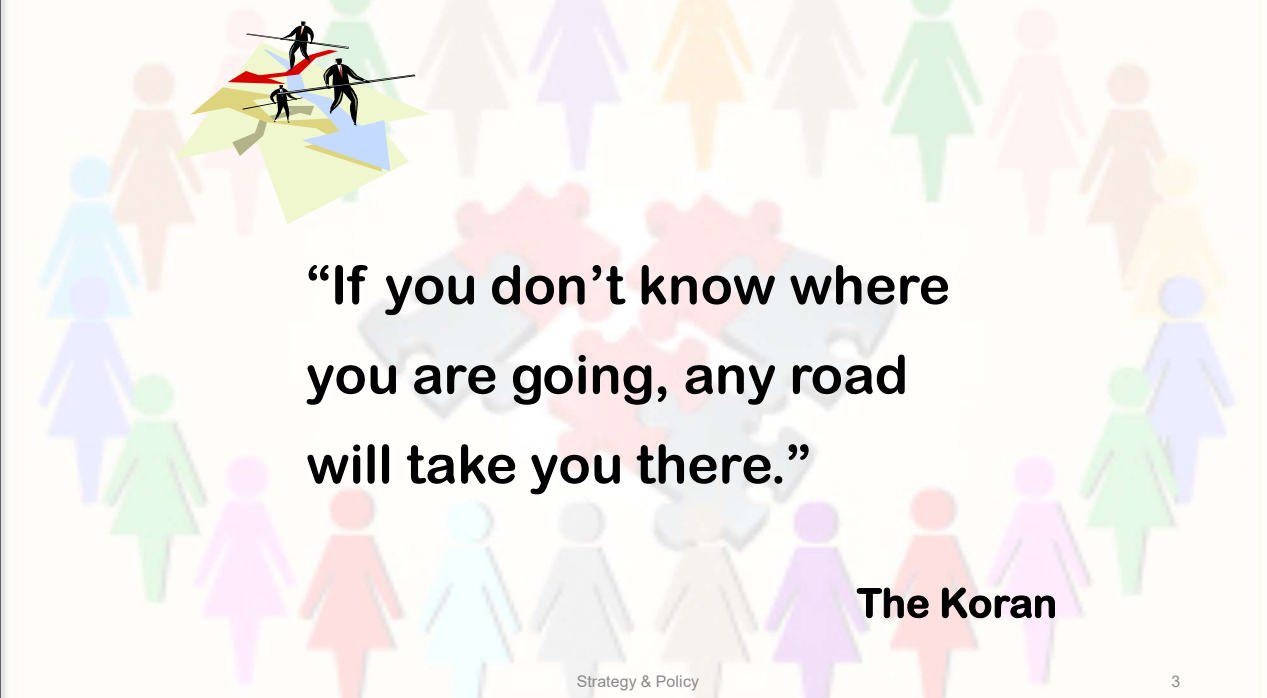
BUSINESS POLICY & STRATEGY

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**“Management’s job is not to
see the company as it is
... but as it can become.”**

John W. Teets



**“If you don’t know where
you are going, any road
will take you there.”**

The Koran

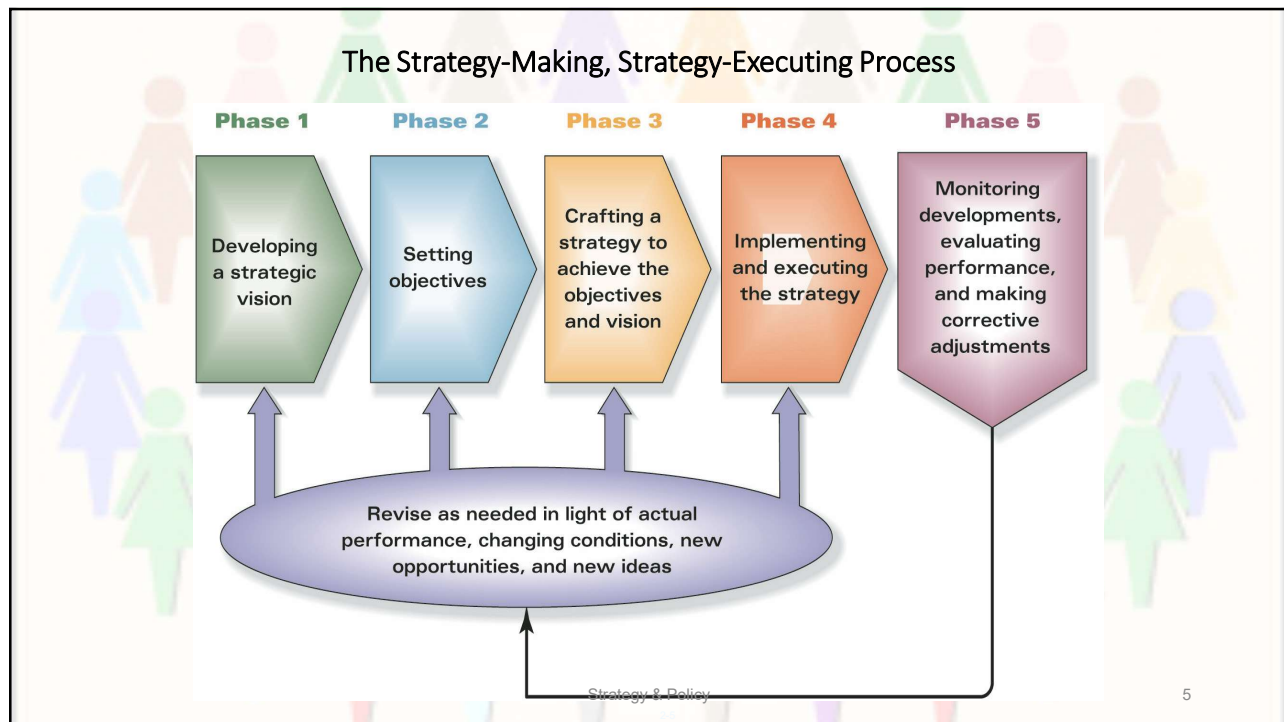
Strategy & Policy 3



Learning Roadmap

- What Does the Process of Crafting and Executing Strategy Entail?
- Developing a Strategic Vision: **Phase 1** of the Strategy-Making, Strategy-Executing Process
- Setting Objectives: **Phase 2** of the Strategy-Making, Strategy-Executing Process
- Crafting a Strategy: **Phase 3** of the Strategy-Making, Strategy-Executing Process
- Implementing and Executing the Strategy: **Phase 4** of the Strategy-Making, Strategy-Executing Process
- Initiating Corrective Adjustments: **Phase 5** of the Strategy-Making, Strategy-Executing Process
- Corporate Governance: The Role of the Board of Directors in the Strategy-Making, Strategy-Executing Process

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Developing a Strategic Vision

Phase 1 of the Strategy-Making Process

- Involves thinking strategically about
 - Future direction of company
 - Changes in company's product/market/customer technology to improve
 - Current market position
 - Future prospects



A *strategic vision* describes the route a company intends to take in developing and strengthening its business. It lays out the company's strategic course in preparing for the future.

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Table 2.1 Factors to Consider in Deciding to Commit the Company to One Path versus Another

External Considerations	Internal Considerations
• Is the outlook for the company promising if it simply maintains its product/market/customer/technology focus? Does sticking with the company's current strategic course present attractive growth opportunities? • Are changes under way in the market and competitive landscape acting to enhance or weaken the company's prospects? • What, if any, new customer groups and/or geographic markets should the company get in position to serve? • Which emerging market opportunities should the company pursue? Which ones should not be pursued? • Should the company plan to abandon any of the markets, market segments, or customer groups it is currently serving?	• What are the company's ambitions? What industry standing should the company have? • Will the company's present business generate sufficient growth and profitability in the years ahead to please shareholders? • What organizational strengths ought to be leveraged in terms of adding new products or services and getting into new businesses? • Is the company stretching its resources too thin by trying to compete in too many markets or segments, some of which are unprofitable? • Is the company's technological focus too broad or too narrow? Are any changes needed?

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Key Elements of a Strategic Vision

- Delineates management's aspirations for the business
- Provides a panoramic view of "where we are going"
- Charts a strategic path
- Is **distinctive** and **specific** to a particular organization
 - Avoids use of generic language that is dull and boring and that could apply to most any company
- Captures the emotions of employees and steers them in a common direction
- Is challenging and a bit beyond a company's immediate reach



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Role of a Strategic Vision

- A well-conceived and well-communicated vision functions as a valuable managerial tool to
 - Give the organization a sense of direction, mold organizational identity, and create a **committed** enterprise
 - Inform company personnel and other stakeholders what management wants its business to look like and “where we are going”
 - Spur company personnel to action
 - Provide managers with a reference point to
 - Make strategic decisions
 - Translate the vision into hard-edged objectives and strategies
 - Prepare the company for the future



A strategic vision exists only as words and has no organizational impact *unless and until it wins the commitment of company personnel and energizes them to act in ways that move the company along the intended strategic path!*

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Table 2.2 Characteristics of an Effectively Worded Strategic Vision

Graphic	Paints a picture of the kind of company that management is trying to create and the market position(s) the company is striving to stake out.
Directional	Is forward-looking; describes the strategic course that management has charted and the kinds of product/market/customer/technology changes that will help the company prepare for the future.
Focused	Is specific enough to provide managers with guidance in making decisions and allocating resources.
Flexible	Is not a once-and-for-all-time statement—the directional course that management has charted may have to be adjusted as product/market/customer/technology circumstances change.
Feasible	Is within the realm of what the company can reasonably expect to achieve in due time.
Desirable	Indicates why the chosen path makes good business sense and is in the long-term interests of stakeholders (especially shareowners, employees, and customers).
Easy to communicate	Is explainable in 5–10 minutes and, ideally, can be reduced to a simple, memorable slogan (like Henry Ford's famous vision of “a car in every garage”).

Source: Based partly on John P. Kotter, *Leading Change* (Boston: Harvard Business School Press, 1996), p. 72.

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